Answer Key - Economics - K-12 Level Assessment 8 (Answers are ordered exactly as in the question paper.)

Multiple Choice

1. **Answer:** D
   Options: A) increase aggregate demand and decrease real GDP.; B) decrease aggregate demand and decrease real GDP.; C) decrease aggregate demand and increase real GDP.; D) have no impact on aggregate demand and real GDP.
   Note: Reclassifying the purchase of a new home as consumption spending rather than investment spending does not change the total amount of spending in the economy, thereby having no impact on aggregate demand and real GDP.

2. **Answer:** D
   Options: A) M stands for the money supply and Q stands for quality.; B) V stands for the velocity of GDP and Q stands for quality.; C) P stands for the price level and Q stands for quarter.; D) P stands for the price level and V stands for the velocity of money.
   Note: In the equation of exchange, represented as $MV = PQ$, P denotes the price level of goods and services in an economy, while V indicates the velocity of money, reflecting how quickly money circulates in the economic system.

3. **Answer:** B
   Options: A) the value of the dollar falls as the supply of dollars increases.; B) the value of the dollar rises as demand for dollars increases.; C) the value of the dollar falls as demand for dollars decreases.; D) the value of the dollar rises as the supply of dollars increases.
   Note: When the United States exports more goods and services, foreign buyers need to purchase dollars to pay for these exports, leading to an increase in demand for the dollar and consequently raising its value.

4. **Answer:** C
   Options: A) The wage that is paid to the assistant manager; B) The cost of purchasing canned goods from a wholesale food distributor; C) The value placed on the owner's skills in an alternative career; D) The cost of cooling the refrigerated meat display
   Note: The value placed on the owner's skills in an alternative career is an implicit cost because it represents the foregone income the owner could have earned by pursuing a different job, reflecting the opportunity cost of their current business decision.

5. **Answer:** D
   Options: A) will charge the highest price it can on the demand curve; B) has a horizontal marginal revenue curve; C) has an upward sloping total revenue curve; D) faces a downward sloping demand curve
   Note: A monopoly faces a downward sloping demand curve because it is the sole producer of a good or service in the market, allowing it to set prices above marginal cost

and influence the quantity demanded, unlike a perfectly competitive firm that is a price taker and faces a horizontal demand curve.

True / False

6. **Answer:** True
   Options: A) True; B) False
   Note: The statement is true because the GDP Deflator is indeed calculated by dividing Nominal GDP by Real GDP and multiplying by 100, and a value of 125 indicates that the overall price level has increased by 25% since the base year.

7. **Answer:** True
   Options: A) True; B) False
   Note: Private industry can promote economic growth by adopting innovative production techniques that enhance efficiency, leading to increased output, reduced costs, and ultimately driving higher levels of economic activity and job creation.

8. **Answer:** True
   Options: A) True; B) False
   Note: The natural rate of unemployment represents the level of unemployment that exists when the economy is at full capacity, which includes both structural unemployment, arising from mismatches between skills and job requirements, and frictional unemployment, resulting from the normal turnover in the labor market as individuals transition between jobs.

9. **Answer:** True
   Options: A) True; B) False
   Note: The supply curve for lawn-mowing services slopes upward because as service providers increase their output, they must forgo other opportunities, leading to higher opportunity costs that require higher prices to incentivize their labor.

10. **Answer:** False
    Options: A) True; B) False
    Note: The statement is false because an increase in gasoline consumption despite rising prices suggests that demand is not responsive to price changes, which is inconsistent with the presence of a price ceiling that would typically lead to shortages and decreased consumption.

Long Form Response

11. **Answer:** A trade surplus occurs when a country exports more goods and services than it imports, leading to a positive balance in the current account. This surplus indicates that the country is earning more from its foreign trade than it is spending on imports, which can strengthen its currency and improve its overall economic health. As a result, the financial account may reflect increased foreign investment in the country or a rise in

savings, as the surplus allows for greater capital accumulation. However, if the surplus persists, it can lead to tensions with trade partners and potential retaliatory measures. Overall, a trade surplus positively impacts the current account while influencing the financial account through changes in investment patterns.
Note: correct because it accurately illustrates that a trade surplus leads to a positive current account balance, which in turn can enhance the country's economic stability and facilitate greater foreign investment and capital accumulation reflected in the financial account.

12. **Answer:** An increase in corporate optimism typically leads to a higher demand for loanable funds, as businesses are more likely to invest in new projects and expand operations. When companies expect future growth, they seek loans to finance their ventures, which raises the overall demand for available funds in the economy. As demand for loanable funds increases, interest rates tend to rise because lenders can charge more for borrowing money when there are more businesses wanting to take loans. This relationship highlights how corporate optimism can have a direct impact on interest rates, influencing the cost of borrowing for everyone in the economy.
Note: correct because an increase in corporate optimism leads to higher investment demand from businesses, which raises the demand for loanable funds, ultimately resulting in higher interest rates as lenders respond to the increased competition for borrowing.

End of Answer Key